CHAPTER C-10

REGULATORY ASPECTS FOR INSURANCE AGENTS

Chapter Introduction

In this chapter, we discuss Regulatory aspects of Insurance agents.

Learning Outcomes

A. Regulations for Insurance Agents issued by IRDAI.

B. Regulatory Compliances for Agents.

C. Code of Conduct for Agents

A. Regulations of Insurance Agents

IRDAI (Appointment of Insurance Agents) Regulations, 2016 that came into force with effect from 1st April 2016 is discussed here.

Learners are expected to read and understand the Regulations for Insurance Agents issued by IRDAI which have defined many related terms. As Regulations are amended from time to time, one needs to refer original and revised/ updated versions placed on the IRDAI website.

Definitions:

Many of the definitions applicable in the insurance market are defined in the Regulations. For instance, an "Insurance Agent" is defined as *"an individual appointed by an insurer for the purpose of soliciting or procuring insurance business including business relating to the continuance, renewal or revival of policies of insurance"*.

The Regulations define a "Composite Insurance Agent" as *"an individual who is appointed as an insurance agent by two or more insurers subject to the condition that he/ she shall not act as insurance agent for more than one life insurer, one general insurer, one health insurer and one each of the mono-line insurers."*

Important terms that an agent should know are also defined.

For example, "Appointment Letter" is defined as *"a letter of appointment issued by an insurer to any person to act as an insurance agent."*

Similarly, the "Designated Official" is also defined as "an officer authorised by the Insurer to make Appointment of an individual as an Insurance Agent." On receipt of the application, before appointing the Agent, the Designated Official shall satisfy himself that the applicant (i) has furnished the Agency Application complete in all respects; (ii) has submitted the PAN details along with the Agency Application Form; (iii) has passed the insurance examination as specified under the Regulations; (iv) does not suffer from any of the disqualifications mentioned in the Regulations; (v) has the requisite knowledge to solicit and procure insurance business; and (vi) capable of providing the necessary service to the policyholders;

The designated official will verify the application form, and ascertain whether the applicant holds agency appointment with more than one life insurer, one general insurer, one health insurer and one of each of the mono-line insurers. He will also verify the centralised list of agents maintained by the Authority and verify whether the applicant is black listed. If satisfied, the designated official may appoint the applicant as an Insurance Agent within 15 days of receipt of all documents from the applicant, allot an agency code number and an identity card to the Agent prefixing the abbreviation of the company name. If the applicant does not fulfil the prescribed conditions, the designated official may refuse to grant Agency Appointment, and communicate the reasons thereof to the applicant in writing,

within 21 days of receipt of the application. If an applicant is aggrieved by the decision of the designated official regarding refusal of granting insurance agency he/ she, may submit a review application to the insurer for review the decision. The insurer shall consider the review application and communicate the final decision within 15 days of receipt of the application.

Appeal Provision: Insurers have "Appellate Officers" who are authorised by the Insurer to consider and dispose representations and appeals received from an appointed Insurance Agent. If an appointment is cancelled, an aggrieved agent can appeal to the Appellate Officer within 45 days of the order, and the Officer will give his decision in the matter in writing within 30 days of the receipt of the appeal.

The "Examination Body" is also defined as *"an Institution, which conducts pre-recruitment tests for insurance agents and which is duly recognised by the Authority."* [Note: As on 30th September 2021, Insurance Institute of India is the only 'Examination Body' approved by the IRDAI]

B. Regulatory Compliances for Agents

The procedure to become an Insurance Agent of an Insurer is discussed in detail. The prescribed pre-qualifications that one should have before approaching an insurer are discussed in detail. The processes involved are also stated in the Regulations.

In order to make the Agent aware of his rights, the mode and manner in which the appointment process shall be done and the processes to be followed by the Insurance Company are also specified.

In case an Applicant is aggrieved at some stage of the process, procedures for complaining are specified. Provisions on how such complaints have to be addressed by the company. In case the Applicant is still aggrieved, the provisions for appealing against the company's decisions are also discussed.

The Regulations provide details relating to appearing for the Insurance Agency Examination conducted by the 'Examination Body' in the subjects of Life, General, or Health Insurance as the case may be, as per the syllabus prescribed by the Authority to be eligible for appointment as an insurance agent. The duties of the insurer in providing the Applicant the necessary assistance and guidance to equip them with adequate insurance knowledge required to qualify in the agency examination are also spelt out.

The applicant who has successfully passed the Insurance Agency Examination shall be issued a pass certificate by the Examination Body. The pass certificate shall be in force for a period of twelve months, for seeking appointment as an agent with any insurer for the first time.

A candidate can be eligible for appointment as an agent only after qualifying in the Insurance Agency examination and holding a valid pass certificate issued by the Examination Body.

C. Code of Conduct for Agents

The Code of Conduct that every Agent shall adhere to are discussed in detail. Matters like identifying oneself and one's Insurer properly by showing the agency identity card and the duty to disclose the agency appointment letter to the prospect on demand are discussed.

The code of conduct specifies the duties of Agents in detail. Some of the important duties that Agent Applicants need to know are listed below:

- ✓ Giving necessary information about insurance products offered for sale by his insurer and consider the needs of the prospect while recommending a specific insurance plan;
- ✓ Explaining the premium to be charged by the insurer for the insurance product offered for sale;
- ✓ Disclosing the scales of commission in respect of the insurance product offered for sale;
- ✓ Care to be taken when representing more than one insurer offering same line of products;
- ✓ Explaining to the prospect the nature of information required in the proposal form by the insurer, and the importance of disclosing material information in the purchase of an insurance contract;
- ✓ Obtaining the requisite documents at the time of filing the proposal form with the insurer; and other documents subsequently asked for by the insurer for completion of the proposal;
- ✓ Informing the insurer every fact about the prospect relevant to insurance underwriting, including any adverse habits or income inconsistency of the prospect, within the knowledge of the agent;
- ✓ Advising every prospect to effect nomination under the policy;
- ✓ Informing the prospect about the acceptance or rejection of the proposal by the insurer, in a prompt manner;
- ✓ Assisting and advising one's customers/ policyholders on policy servicing matters including assignment of policy, change of address or exercise of options under the policy or any other policy service, as required;
- ✓ Assisting one's customers/ policyholders/ claimants/ beneficiaries in claims settlement related procedures.

The code of conduct specifies what the Agents should not do as well. There are some important prohibitions that Agent Applicants need to be aware of:

Insurance agents are prohibited from

- ✓ Soliciting or procuring insurance business without being duly authorized by the insurer

- ✓ Inducing the prospect to omit any material information or submit wrong information in the proposal form;
- ✓ Resorting to multilevel marketing for soliciting and procuring insurance policies and/ or inducting any prospect/ policyholder into multilevel marketing schemes.
- ✓ Offering different rates, advantages, terms and conditions other than those offered by one's insurer;
- ✓ Demand or receive a share of proceeds from the beneficiary under an insurance contract;
- ✓ Issuing Insurance advertisements without the express approval of the Insurance Company.

Agents should alert policyholders orally and issue notices to them so that the business procured are conserved.

Action against Agents:

An Agent's appointment can be cancelled or suspended for multiple reasons. Some of the serious reasons are mentioned below.

The Agent would attract action if he/ she:

- violates relevant provisions under the Acts, Rules or Regulations as amended from time to time,
- fails to comply with the stipulated code of conduct,
- violates the terms of appointment,
- furnishes wrong or false information,
- conceals or fails to disclose material facts in the application submitted for appointment of Insurance Agent
- does not submit periodical returns as required by the Insurer/ Authority
- does not co-operate with any inspection or enquiry conducted by the Authority
- fails to resolve the complaints of the policyholders.
- either directly or indirectly involves in embezzlement of premiums/ cash collected from policyholders/ prospects on behalf of insurer.

The procedure to be followed for such Cancellation/ Suspension of Agency and the effects thereof are given in detail in the Insurance Regulatory and Development Authority of India (Appointment of Insurance Agents) Regulations, 2016. There is a provision for black listing agents whose appointment is cancelled/ suspended by a designated official of the insurer on grounds of violation of the Code of Conduct and/ or fraud. If the agency of the insurance agent is cancelled, he/ she shall cease to act as an insurance agent from the date of the order. The Authority maintains a "Centralised list of black listed agents" whose appointment is cancelled/

suspended. In case the suspension is revoked, the name is removed from the black list. The procedure in respect of resignation/ surrender of appointment by an insurance agent is also specified.

The Regulations allow IRDAI to call for any information pertaining to the insurance business undertaken by the Insurance Agent and he/ she shall submit the same within the time lines. IRDAI can appoint an "Investigating Officer" to undertake inspection of the affairs of an Insurance Agent, to ascertain and see whether the business is carried on by him/ her as per the Act, Regulations and the instructions issued by the Authority from time to time, and also to inspect the books of accounts, records and documents of the Agent.

Key Terms

1. Regulatory Compliances for agents
2. Code of Conduct for Agents

Test Yourself 1

Which of the following statements is incorrect

An insurance agent shall not -

I. Solicit or procure insurance business without being appointed to act as such by the insurer
II. Induce the prospect to omit any material information in the proposal form;
III. Disclose the scales of commission in respect of the insurance product offered for sale, if asked by the prospect
IV. Offer different rates, advantages, terms and conditions other than those offered by his insurer

Test Yourself 2

Pick the right answer

An insurance agent is allowed to

I. Interfere with any proposal introduced by any other insurance agent
II. Resort to multilevel marketing for soliciting and procuring insurance policies
III. Receive a share of proceeds from the beneficiary under an insurance contract
IV. Indicate the premium to be charged by the insurer for the insurance product offered for sale

Answers to Test Yourself

Answer 1 - The correct option is III.

Answer 2 - The correct option is IV.